

Three Horizons

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Core, emerging and future growth horizons

PROFESSIONAL DEFINITION

The Three Horizons model frames growth as the simultaneous management of three time horizons: defending and extending the core (H1), building emerging businesses (H2), and creating options for the future (H3).

WHO DEVELOPED IT

Introduced by Mehrdad Baghai, Stephen Coley and David White of McKinsey in *The Alchemy of Growth* (1999).

WHY IT WAS DEVELOPED

It was developed to stop firms from over-investing in today's core at the expense of tomorrow's growth, balancing exploitation and exploration.

FIGURE 1 · THREE HORIZONS

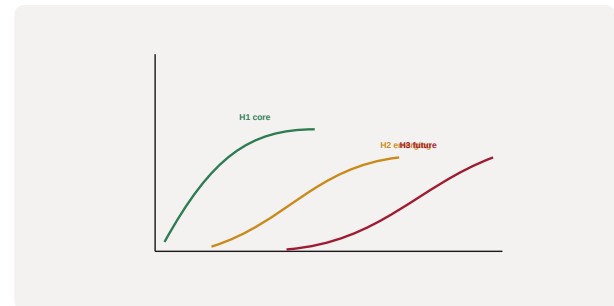


Figure 1. A schematic of the Three Horizons as applied in BARBM312 (illustrative).

HOW IT IS USED

Initiatives are sorted into the three horizons and resourced so that future growth is funded even while the core is optimised, with AI bets often spanning H2 and H3.

WHEN IT IS USED

During portfolio strategy, innovation governance and AI investment sequencing.

BY WHOM IT IS USED

Executives, strategy teams and innovation boards.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

It institutionalises the parallel pursuit of present and future growth, countering the short-termism that lets disruptors win H3.

RELATED FRAMEWORKS IN THIS COURSE

White-Space Map · Slibrary 4

Demand-Signal Radar · Slibrary 4

Blue Ocean Strategy Canvas · Slibrary 4

Trend → Opportunity Funnel · Slibrary 4

SOURCES (HARVARD REFERENCING STYLE)

Baghai, M., Coley, S. and White, D. (1999) *The Alchemy of Growth*. Reading: Perseus.

McKinsey & Company (2009) 'Enduring Ideas: The three horizons of growth'.